



# *NMG Investor Briefing*

## *2009 Results*

*Media of Africa for Africa*

# Agenda

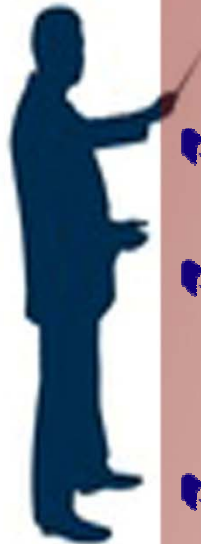
- 2009 Highlights
- Divisional Updates
- 2009 Financial Results
- FY2010 Outlook
- Q&A



# 2009 Highlights

# Overview

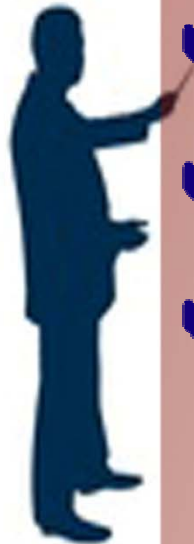
- Overall a challenging year
- EAM joint venture discontinued
- Closure of Daily Metro in April
- Launch of new TV station in Dec 2009: eAfrica
- Extended coverage for NTV Uganda (80%)
- Business Daily sponsored Top 100 SMEs survey
- New press for MCL (US\$3.4M)
- Content re-vamp for The EastAfrican





# Overview

- Newspapers In Education (NiE) launch
- Increased efficiency and driver safety as a result of outsourcing to GM
- High newsprint prices in H1 2009
- Reduced advertising volumes
- Increased competition
- Media Legislation





# Divisional Updates

# Nation Newspapers Division

Advertising Revenue



3%

Total Revenue



2%

Direct Costs



19%

- Direct cost affected by high newsprint prices in H1
- Overheads in line with 2008



# Nation Broadcasting Division

- Easy FM remains the #1 English station
- NTV station re-launch
- QFM now the 3<sup>rd</sup> most tuned in station in the country (Steadman Synovate)
- Easy FM live on the internet ([easyfm.co.ke](http://easyfm.co.ke))





# Monitor Publications Ltd

**Daily MONITOR**

TRUTH EVERYDAY

Newspaper Revenue



2%

## K FM

Radio Revenues



43%

Radio Operating  
Results



500%



**Better information best Music**

**ON AIR**

Listen to your  
pulse

**93.3  
LIVE!**

# NTV Uganda



- Roll-out into four new towns: Jinja, Mbale, Masaka & Mbarara
- Focus on market growth to continue



# Mwananchi Communications Ltd

Total Revenue



3%

Circulation Revenue



12%

- ❖ Performance affected by high newsprint costs
- ❖ Advertising volumes reduction due to economic slowdown
- ❖ New press to improve performance in 2010





# 2009 Financial Results



# H1 2009 Operating Results

Turnover



1.3%

3.8 B

Cost of Sales



34%

1 B

Overheads



0.3%

2.2 B

Profit Before Tax



23.9%

0.6 B

# 2009 Key Performance Drivers

## Revenue

- Economic slowdown
- Discontinued JV with EAM
- Closure of Daily Metro
- Improved NTV U performance

## Costs

- High newsprint prices in H1
- New investments: Africa Media, Q FM & eAfrica

# 2009 Full Year Operating Results

Turnover



0.7%

8.2 B

Cost of Sales



24%

2.1 B

Overheads



3.6%

4.5 B

Profit Before Tax



15.3%

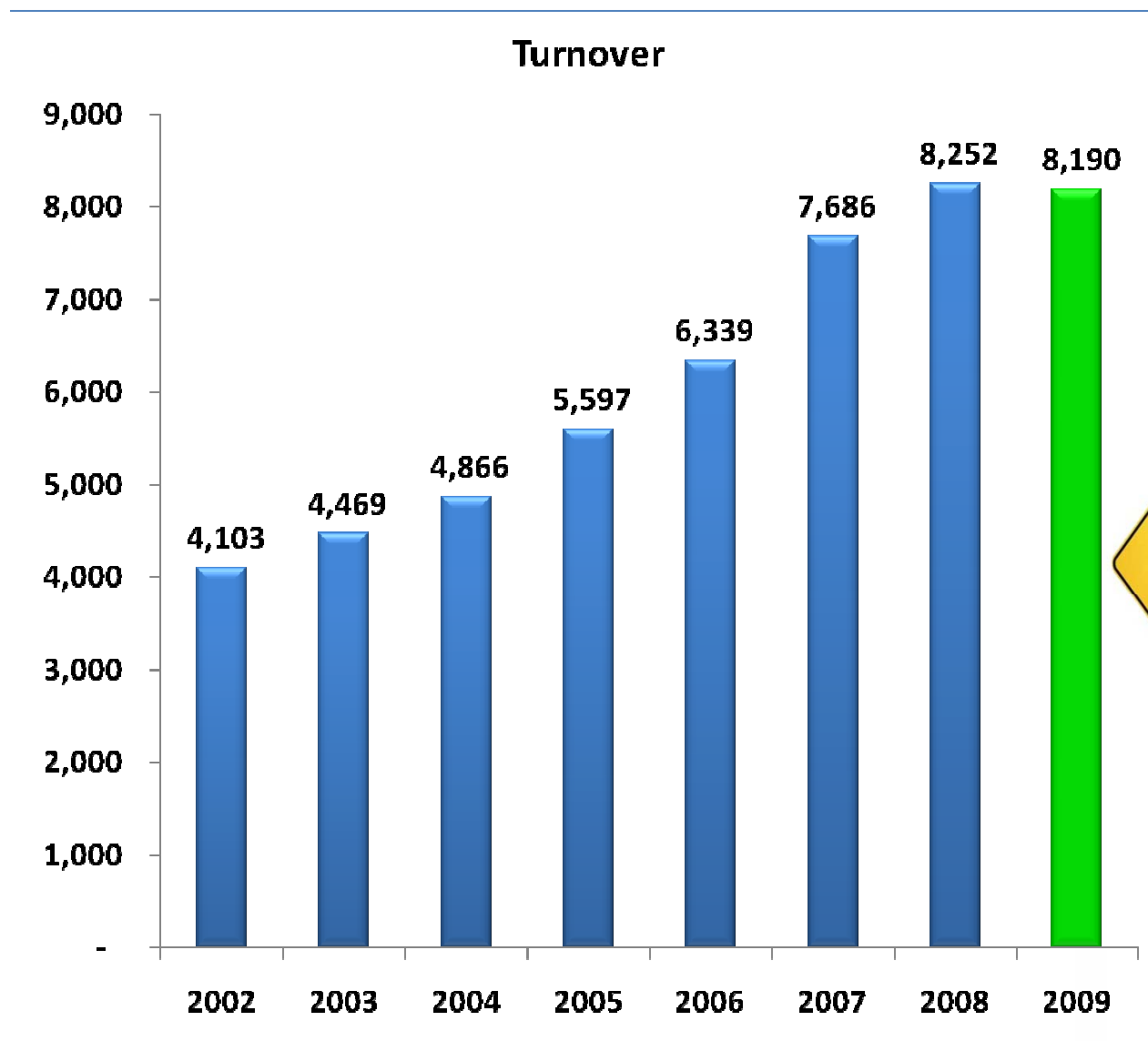
1.6 B

# Profit and Loss Account (Ksh M)

|                                     | 2008  | 2009  | % Change |
|-------------------------------------|-------|-------|----------|
| Turnover                            | 8,252 | 8,190 | (0.7)%   |
| Profit Before Tax                   | 1,910 | 1,617 | (15.3)%  |
| Tax Expense                         | (614) | (498) | 18.9%    |
| Profit Attributable to Shareholders | 1,298 | 1,103 | (15)%    |
| Earnings per Share                  | 9.1   | 7.7   | (15)%    |



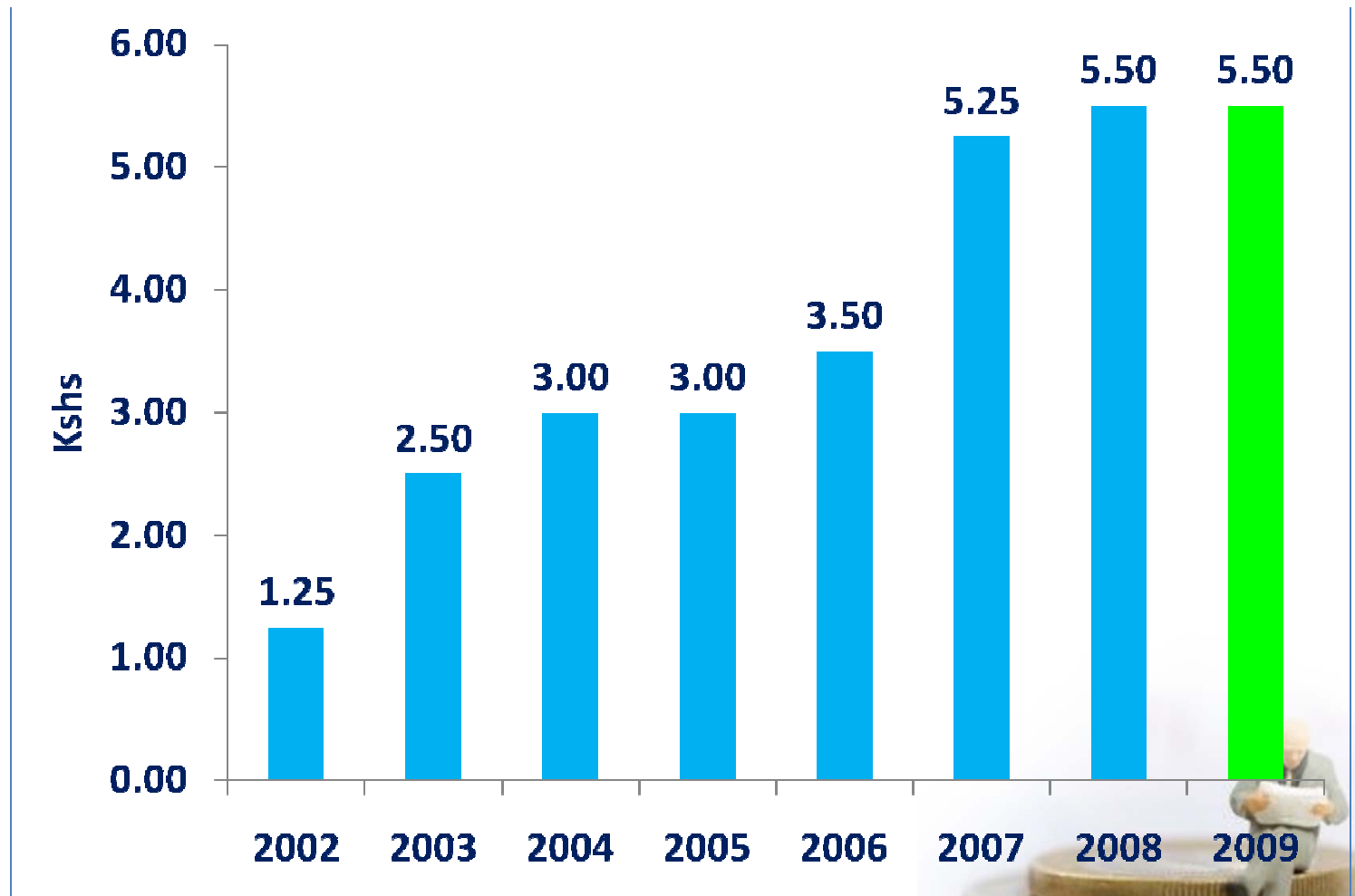
# Turnover: 2002 – 2009 (Ksh M)



# Pre-tax Profit (Kshs M)



# Dividend Trend (Kshs/share)



Dividend held at previous year's level



# Consolidated Balance Sheet (Ksh M)

|                                                   | 2008         | 2009         |
|---------------------------------------------------|--------------|--------------|
| <b>Capital &amp; Reserves</b>                     |              |              |
| Share Capital                                     | 356.5        | 356.5        |
| Reserves                                          | 3,401        | 3,720        |
| Proposed Dividends                                | 570.4        | 570.4        |
| Minority Interest                                 | (13.1)       | 67.2         |
| <b>Total Equity</b>                               | <b>4,315</b> | <b>4,714</b> |
| <b>Non-current Liabilities</b>                    | <b>235.1</b> | <b>89.3</b>  |
| <b>Total Equity &amp; Non-current liabilities</b> | <b>4,550</b> | <b>4,803</b> |
| <b>Assets</b>                                     |              |              |
| Non-current Assets                                | 2,695        | 2,807        |
| Current Assets                                    | 4,029        | 3,766        |
| Current Liabilities                               | 2,173        | 1,769        |
| Net Current Assets                                | 1,855        | 1,996        |
| <b>Total Assets</b>                               | <b>4,550</b> | <b>4,803</b> |





## Condensed Cash Flow Statement (Ksh M)

|                                    | 2008  | 2009  |
|------------------------------------|-------|-------|
| Net Cash from Operating Activities | 910   | 1,519 |
| Investing Activities               | (598) | (510) |
| Financing Activities               | (890) | (843) |
| Increase/(decrease) in cash        | (588) | 166   |
| Opening & Closing Cash Position    |       |       |
| At start of year                   | 1,915 | 1,306 |
| At end of year                     | 1,306 | 1,474 |

Cash position up 13%



# NMG Share Activities

# Bonus Issue

- Increase volume of tradable shares
- Reward our loyal base of retail investors
- Boost our share capital

**Bonus Issue of  
1 for 10**



# Cross Listing

- Grow shareholder base
- Boost visibility in our various markets
- Part of 50<sup>th</sup> Anniversary celebrations





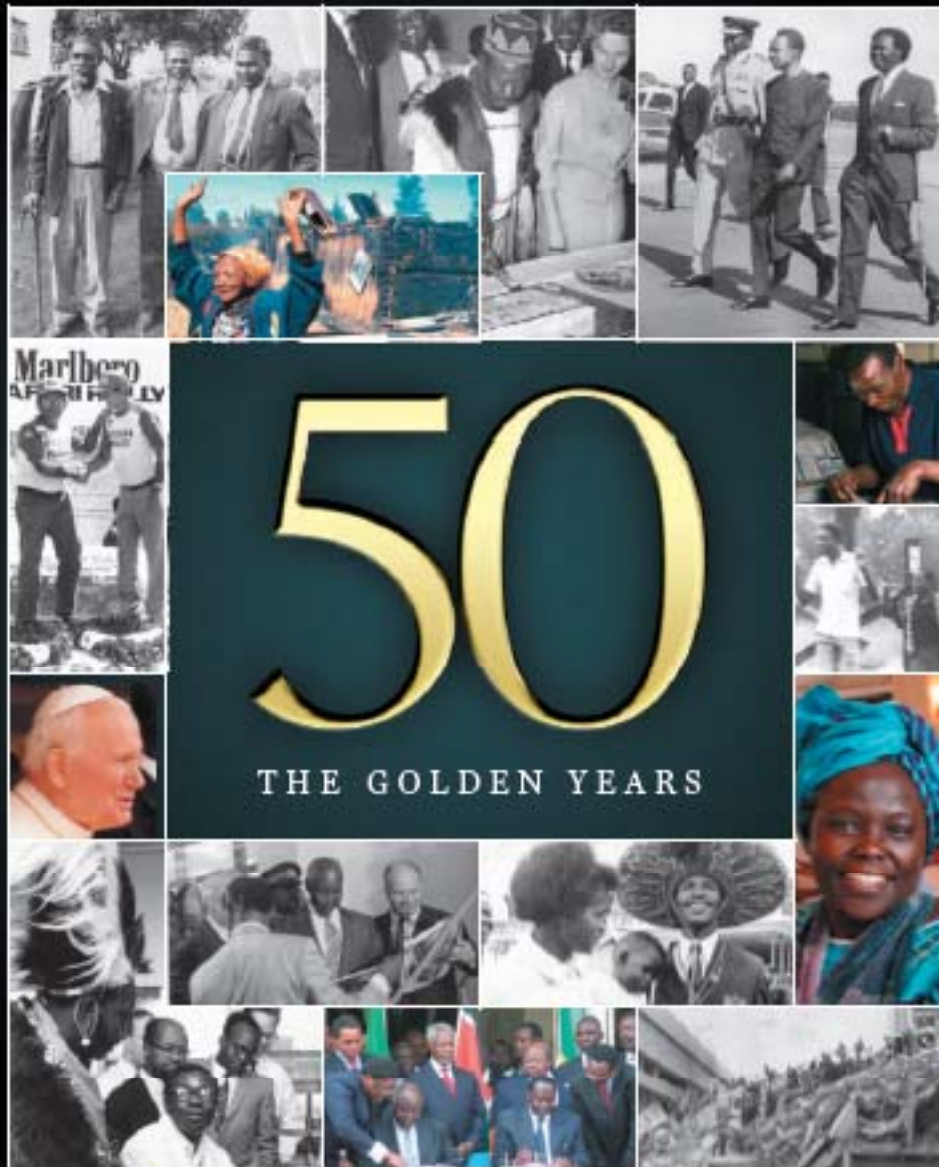


# 2010 Outlook



# 2010 Outlook

- Year of recovery
- Optimistic of improved performance
- Focus on content improvement to continue
- Better newsprint prices
- New Media to grow
- 50<sup>th</sup> Anniversary celebration





**Thank  
You**